

Crypto Perpetual Practitioner Alpha Map

Source base and method

This report treats Reddit threads, trader blogs, public strategy notes, exchange learn pages, API docs, and social-trading discussions as idea generators, not proof. I mined practitioner claims from Reddit communities such as r/quant, r/algotrading, r/CryptoMarkets, r/Bitcoin, r/Coinbase, r/KrakenSupport, and r/defi, then forced each claim through market-structure checks using exchange rules, public API documentation, and research on funding, intraday seasonality, ETF-flow effects, liquidations, and cross-venue price discovery. The point is not “does Reddit believe this,” but “is there a real mechanism, a public-data route, and a clean rejection rule.” ¹

The no-vendor data constraint is workable, but only if the firm is willing to archive live feeds. Kraken’s public futures ticker feed includes bid, ask, open interest, funding rate, and funding-rate prediction, and Kraken also exposes historical funding rates and downloadable CSV exports. For EEA clients, Kraken perpetuals auto-roll hourly, settle funding every hour, and derive mark from index plus an EMA of the impact-mid premium. Coinbase International publishes hourly funding rules, mark/index methodology, top-20 L2 order-book data, a funding channel with predicted versus final funding, and detailed conversion rules for pre-launch and pre-IPO perps. Binance exposes public funding history, open-interest statistics, and 100–250 ms depth streams. OKX offers public REST/WebSocket APIs, historical data downloads, and documents funding normalization changes as well as ADL and security-fund mechanics. Those facts drive the `no_vendor_testability`, `Kraken_feasibility`, and `better_venue_if_not_Kraken` judgments below. ²

One regime shift matters immediately: the old “CME weekend gap fill” subculture changed on May 29, 2026, when CME launched 24/7 crypto futures and options trading. Historical gap-fill backtests built on the old weekend closure logic should now be treated as pre-regime-change artifacts, though weekend clearing conventions still differ from continuous trading. ³

Practitioner-derived hypothesis catalog

Funding-window premium compression

`raw_claim`: Traders close before positive funding and reopen after; the price often softens into the funding cut.

`source_type`: Reddit thread, practitioner build log.

`source_context`: A Binance/KuCoin funding-window discussion framed “buy after / close before” as “easy money,” while quant/algotrading posts described funding capture as latency- and execution-driven rather than predictive.

`assessment`: Plausible market structure; also an execution artifact; moderate crowding risk.

`systematic_translation`: On venues where funding is paid only if the position is open at the cut, test whether the perp premium to spot compresses in the last 5–30 minutes before strongly positive funding.

`mechanism`: Traders avoiding payment reduce long demand or add late hedges.

regime_context: High positive funding, large premium, high short-term participation.
entry / exit: Short perp when annualized predicted funding is in the top decile and premium is stretched; cover 1–20 minutes after settlement.
risk: Crowded, fee-heavy, and easy to overfit by venue.
data_needed: Mark/index, predicted funding, trades, 1–5 second bars.
no_vendor_testability: Yes, with public exchange data and live capture.
Kraken_feasibility: Medium; good for majors, better if you archive hourly funding prediction.
better_venue_if_not_Kraken: Coinbase IntX for explicit hourly funding channel; Binance for funding history plus broader symbol set.
evidence_support / evidence_against: Funding is applied only to positions open at interval end, and practitioners describe the edge as execution-sensitive; that same fact means the edge is public and likely thin.
null_control: Same holding horizon on non-funding minutes with matched volatility and spread.
falsification_test: Reject if the net edge after taker fees or passive-fill slippage is not positive in two out-of-sample years or vanishes outside one venue.
priority: High. 4

Post-funding snapback

raw_claim: The move into funding often reverses right after the print.
source_type: Reddit, exchange funding rules.
source_context: Funding-timing discussions assumed traders can avoid payment by flattening before settlement; Kraken EEA rules show funding accrues continuously but settles hourly, which can still create cut-related inventory shifts.
assessment: Plausible market structure; mild data-mining risk.
systematic_translation: Test for mean reversion in the 1–30 minutes after an extreme funding cut if the pre-cut move was one-sided and spread widens into settlement.
mechanism: Temporary inventory distortion from flatten/reopen behavior.
regime_context: Funding extremes plus short-term price displacement.
entry / exit: Fade the pre-cut move after settlement only if price fails to extend beyond the final pre-cut extreme.
risk: Real trend days will keep running and steamroll the fade.
data_needed: Funding timestamp, mark/index, micro bars, best bid/ask.
no_vendor_testability: Yes.
Kraken_feasibility: Medium.
better_venue_if_not_Kraken: Coinbase IntX or Binance.
evidence_support / evidence_against: Funding windows create discrete incentives; continuous/hourly funding reduces but does not eliminate inventory effects.
null_control: Post-random-minute mean reversion after matched realized volatility and spread.
falsification_test: Reject if the post-cut reversal is no larger than matched control windows net of costs across majors.
priority: High. 5

Cross-exchange funding-spread carry

raw_claim: Opposing positions across venues can earn the funding differential with little delta risk.
source_type: Reddit discussion, exchange education.
source_context: A DeFi post described longing one venue and shorting another when one funding rate

is positive and the other negative; Kraken's own educational material describes delta-neutral funding-rate arbitrage.

assessment: Plausible market structure; mostly execution/collateral/venue-risk, not directional alpha.

systematic_translation: Trade same-underlier opposing perps or spot-perp hedges when net expected funding spread minus fees, borrow, transfer friction, and liquidation gap is above threshold.

mechanism: Funding-rate fragmentation across venues and settlement clocks.

regime_context: Stress, memecoin manias, venue segmentation.

entry / exit: Enter only when expected 24–72 hour net carry exceeds a hard cost floor and both venues have liquidation headroom.

risk: Exchange default, index divergence, margin fragmentation, leg slippage.

data_needed: Funding forecasts, fees, leverage rules, collateral haircut assumptions.

no_vendor_testability: Yes.

Kraken_feasibility: Medium; good as one leg, but symbol breadth is narrower than Binance/OKX.

better_venue_if_not_Kraken: Binance and OKX.

evidence_support / evidence_against: The trade exists by construction; practitioners already pursue it, which means easy spreads compress fast.

null_control: Same pair with random start times and carry-neutral spreads.

falsification_test: Reject if realized spread capture is below estimated net carry after all transfer and liquidation costs in forward paper trading.

priority: Medium. 6

Persistent negative funding with flat price as squeeze fuel

raw_claim: If funding stays negative while price refuses to break, the market is leaning short and ripe for an upside squeeze.

source_type: Reddit discussion, public research.

source_context: Bitcoin threads framed extended negative funding as persistent bearish positioning, while another practitioner pushed back that negative funding alone does not guarantee demand. Research has found some predictive content in funding, but weak single-asset reliability and better cross-sectional use.

assessment: Plausible market structure; high myth risk if used alone.

systematic_translation: Long only when funding is deeply negative for several windows, price stays above a medium-term anchor, and spot or basis confirms absorption.

mechanism: Short overcrowding plus inability to push price lower.

regime_context: Range lows, post-panic stabilization, majors.

entry / exit: Enter on first breakout/reclaim after multi-window negative funding and stable or rising price; exit into first squeeze extension or if funding normalizes without price progress.

risk: Negative funding can simply reflect a correct bearish trend.

data_needed: Funding history, OI if available, price, basis.

no_vendor_testability: Yes.

Kraken_feasibility: Medium; best with self-archived OI.

better_venue_if_not_Kraken: Binance or OKX for easier OI history.

evidence_support / evidence_against: Funding does measure positioning pressure; practitioners explicitly warn that squeeze logic needs real demand, not funding alone.

null_control: Same breakout pattern without negative-funding backdrop.

falsification_test: Reject if returns are not better than the same breakout without the funding filter

across BTC and ETH.

priority: High. 7

Positive funding with rising open interest and flat price as flush setup

raw_claim: If longs keep paying but price stops advancing while OI rises, stubborn longs are trapped and a flush often follows.

source_type: Reddit dashboard post, exchange education.

source_context: A trader dashboard argued that elevated OI with funding slipping toward neutral or negative after a move often precedes a flush; Coinbase and Kraken both present funding as a positioning indicator.

assessment: Plausible market structure.

systematic_translation: Short or avoid longs when annualized funding is high, price stalls below local highs, and OI rises despite no spot follow-through.

mechanism: Leveraged long crowding without fresh spot demand.

regime_context: Late-stage intraday or multi-day trend exhaustion.

entry / exit: Enter on first lower high or failed breakout; cover on first forced unwind or OI drop.

risk: Momentum can resume if spot demand returns.

data_needed: Funding, OI, price, breakout levels.

no_vendor_testability: Yes.

Kraken_feasibility: Forward-capture only for OI.

better_venue_if_not_Kraken: Binance or OKX.

evidence_support / evidence_against: Funding and OI interact more cleanly than either alone; single-dashboard interpretations can still be hindsight-heavy.

null_control: Same failed-breakout short without the funding/OI filter.

falsification_test: Reject if adding funding-plus-OI does not improve expectancy beyond fee drag on BTC/ETH/SOL.

priority: High. 8

Funding flip from extreme positive toward neutral while price holds as continuation filter

raw_claim: When funding cools without a price dump, the move is cleaner and can continue.

source_type: Funding-tracker discussion, exchange docs.

source_context: Public funding trackers and exchange docs expose predicted versus last funding; Kraken and Coinbase both surface forward-looking funding information.

assessment: Plausible market structure; moderate data-mining risk.

systematic_translation: Use falling predicted funding with stable price as a continuation filter after breakout, especially in majors.

mechanism: Overheated leverage exits while underlying spot demand remains.

regime_context: Trending markets after an initial impulse.

entry / exit: Enter on pullback hold after predicted funding decelerates for two or more windows; exit if price loses the breakout base.

risk: Funding can cool simply because momentum died.

data_needed: Predicted funding, realized funding, price structure.

no_vendor_testability: Yes.

Kraken_feasibility: Good.

better_venue_if_not_Kraken: Coinbase IntX.

evidence_support / evidence_against: Predicted-funding feeds are public and measurable; the

edge may disappear once controlled for simple momentum decay.

null_control: Same breakout continuation trades without the funding-cooling condition.

falsification_test: Reject if the funding-cooling filter adds no Sharpe or hit-rate lift versus plain breakout continuation.

priority: Medium. 9

Funding-rate normalization across venues

raw_claim: Traders compare raw funding numbers across venues without adjusting for interval length, then think they found alpha.

source_type: Exchange docs, practitioner complaints.

source_context: Kraken distinguishes hourly versus 8-hour thresholds by region; Coinbase funds hourly; OKX explicitly revised its formula with an 8/N interval factor; traders complain about the operational burden of 8-hour windows.

assessment: Execution artifact; strong anti-myth filter.

systematic_translation: Convert every funding input to expected daily or annualized carry before ranking or trading.

mechanism: Apparent cross-venue dislocations are often clock-definition errors.

regime_context: Any multi-venue strategy.

entry / exit: Not a signal by itself; use as a preprocessing rule.

risk: Bad normalization creates fake edges.

data_needed: Funding period length, formulas, timestamps.

no_vendor_testability: Yes.

Kraken_feasibility: High.

better_venue_if_not_Kraken: Not applicable.

evidence_support / evidence_against: The exchanges explicitly use different settlement intervals and normalization rules; the “edge” can be entirely a unit mismatch.

null_control: Backtest using raw unnormalized funding to show how often rankings change.

falsification_test: Reject any strategy whose performance disappears after annualizing funding correctly.

priority: High. 10

Kraken predicted funding as a venue-local micro signal

raw_claim: The publicly displayed next funding rate is usable as a short-horizon signal.

source_type: Kraken API docs, exchange education.

source_context: Kraken’s futures ticker response includes both **fundingRate** and **fundingRatePrediction**; Kraken’s funding articles frame funding as a real-time positioning measure.

assessment: Plausible market structure; likely small edge; execution-sensitive.

systematic_translation: Test short-horizon directional and mean-reversion signals using changes in **fundingRatePrediction**, not just the level.

mechanism: Rapid shifts in predicted funding reflect sudden crowding changes before the cash settlement.

regime_context: BTC, ETH, SOL; high participation names.

entry / exit: Trigger when predicted funding changes sign or moves multiple standard deviations in one hour while price lags.

risk: Signal may just restate current premium.

data_needed: Kraken tickers feed archived intraday.

no_vendor_testability: Yes.
Kraken_feasibility: High.
better_venue_if_not_Kraken: Coinbase IntX funding channel for a similar setup.
evidence_support / evidence_against: The field is public and timestamped; public signals tend to be weak unless the change, not the level, matters.
null_control: Same trade on funding level only, and same trade on raw premium only.
falsification_test: Reject if funding-prediction changes do not outperform price-premium-only rules on forward capture.
priority: High. ¹¹

Cross-sectional funding extremes beat single-asset funding rules

raw_claim: Funding is more useful for ranking coins than forecasting one coin.
source_type: Research note, trader commentary.
source_context: Presto found funding-rate data more useful cross-sectionally than for single-asset prediction, and practitioner memecoin commentary tied extreme funding to localized leverage frenzy.
assessment: Plausible market structure.
systematic_translation: Rank liquid perps by normalized funding, then short the most overheated or long the most washed-out names within a sector or beta bucket.
mechanism: Crowd positioning gets more mispriced cross-sectionally than directionally.
regime_context: Alt rotations, meme bursts, sector manias.
entry / exit: Enter top-versus-bottom decile relative-value spreads after controlling for beta and 24-hour momentum.
risk: Sector shocks overwhelm relative-value logic.
data_needed: Funding history across many symbols, beta controls, sector tags.
no_vendor_testability: Yes.
Kraken_feasibility: Medium on majors; weaker on long-tail alts.
better_venue_if_not_Kraken: Binance or OKX.
evidence_support / evidence_against: Cross-sectional funding has better support than single-asset timing; overloaded beta can swamp the spread.
null_control: Same cross-sectional spread using momentum only or volume only.
falsification_test: Reject if the funding-ranked basket does not beat simple momentum-ranked baskets after fees.
priority: High. ¹²

Small-alt funding extremes are better fades than BTC funding extremes

raw_claim: Crazy funding in weak or meme alts is a better fade than the same reading in BTC.
source_type: Reddit memecoin discussion, listing docs.
source_context: Memecoin threads linked extreme funding to leverage contagion, and new small-cap listings often launch with special funding caps and lower leverage.
assessment: Plausible market structure; high tail risk.
systematic_translation: Short high-funding small alts only when liquidity and execution filters pass and the coin is not also the sector leader.
mechanism: Small-cap perps can get more one-sided retail leverage than BTC.
regime_context: Meme manias, fresh narratives, thin books.
entry / exit: Enter only after a failed extension or lower high; exit on first OI purge or after fixed holding window.

risk: Squeezes are brutal and gap risk is real.
data_needed: Funding, OI, spread, top-of-book depth, relative-strength filter.
no_vendor_testability: Partial; depth makes a big difference.
Kraken_feasibility: Low outside listed liquid names.
better_venue_if_not_Kraken: Binance or OKX.
evidence_support / evidence_against: Extreme alt funding clearly exists; special caps and leverage limits can distort the first-order signal.
null_control: Same fade logic on BTC and ETH at matched normalized funding.
falsification_test: Reject if small-alt fades do not beat major-coin fades on a risk-adjusted basis after slippage.
priority: Medium. 13

UTC daily-candle reset mean reversion

raw_claim: Crypto traders anchor to the 00:00 UTC daily candle, so the minutes around that reset matter.
source_type: Reddit lore, calendar-effect research.
source_context: Multiple threads state that crypto daily candles open and close at 00:00 UTC; formal studies find intraday anomalies but often weak persistence over long samples.
assessment: Plausible behavioral anchor; high data-mining risk.
systematic_translation: Test whether extreme moves in the last hour before 00:00 UTC partially mean-revert in the first one to four hours after the reset.
mechanism: Human chart anchoring and daily performance framing.
regime_context: Lower-volatility days and chart-driven markets.
entry / exit: Fade large into-close moves only when they occur without accompanying OI or funding confirmation.
risk: Strong macro or liquidation-driven moves ignore the calendar anchor.
data_needed: Intraday bars, UTC timestamps, optional funding/OI.
no_vendor_testability: Yes.
Kraken_feasibility: High.
better_venue_if_not_Kraken: Not necessary.
evidence_support / evidence_against: The clock anchor is real; studies also warn that many Bitcoin calendar effects are unstable over time.
null_control: Same move size at random hours.
falsification_test: Reject if reset-window expectancy is not materially different from matched non-reset windows over rolling samples.
priority: Medium. 14

Asia-open continuation

raw_claim: Asian hours, especially around the Tokyo open, can start clean trends in BTC.
source_type: Practitioner session discussions, public research.
source_context: Concretum documented intraday seasonality linked to the Asian market open, while traders in session-breakout communities describe cleaner trend formation in Asia/London than at NY.
assessment: Plausible market structure.
systematic_translation: Test breakout and continuation trades built on the first 15–60 minutes around the Tokyo open, conditioned on pre-open range compression.
mechanism: Regional participation handoff and liquidity regime change.

regime_context: Weekdays, majors, medium volatility.
entry / exit: Buy/sell break of pre-open range if volume and spread normalize after open; exit on fixed horizon or opposite range break.
risk: Pure chop days turn this into noise.
data_needed: Intraday bars or trades, spread, range compression metric.
no_vendor_testability: Yes.
Kraken_feasibility: Good on majors.
better_venue_if_not_Kraken: Coinbase or Binance for more granular data if needed.
evidence_support / evidence_against: There is research support for Asia-open seasonality, but session lore from other assets often overstates universality.
null_control: Same range-break rules at random non-session hours.
falsification_test: Reject if the Asia-open edge disappears after volatility adjustment and spread costs.
priority: High. 15

London-open range expansion

raw_claim: London gives cleaner momentum than New York for some intraday traders.
source_type: Trader discussions, intraday research.
source_context: Session threads repeatedly prefer London for momentum and note that London often manipulates Asia highs/lows before reversing or extending; research finds higher Bitcoin activity during European and U.S. daytime hours.
assessment: Plausible market structure.
systematic_translation: Test London-open range expansion, but split the sample into fast continuation days and Asia-range-failure days.
mechanism: Liquidity expansion as Europe comes online.
regime_context: Weekdays; best in BTC/ETH.
entry / exit: Use Asia-range break with a volatility and spread filter; exit at first target or when NY overlap begins.
risk: Strategy is easy to overfit because “London open” can encode many latent variables.
data_needed: Intraday bars, realized volatility, spread, Asia-session range.
no_vendor_testability: Yes.
Kraken_feasibility: Good.
better_venue_if_not_Kraken: Not necessary.
evidence_support / evidence_against: European daytime does matter for activity; whether that means tradeable return is much less stable.
null_control: Same range logic in comparable non-session windows.
falsification_test: Reject if London-open expectancy is not better than the same rule outside London or after transaction costs.
priority: Medium. 16

NYSE cash-open impulse

raw_claim: U.S. cash open matters even in 24/7 crypto.
source_type: Public research, official hours.
source_context: NYSE and Nasdaq still open core cash trading at 9:30 a.m. ET; research on Bitcoin options and Bitcoin intraday volume finds peaks around the NYSE open and stronger activity during U.S. stock-market hours.

assessment: Plausible market structure.
systematic_translation: Trade opening-range continuation or mean reversion in BTC/ETH/SOL around 9:30 a.m. ET, but condition it on overnight move size and ETF-flow backdrop.
mechanism: TradFi participation, ETF hedging, and cross-market attention.
regime_context: U.S. weekdays; stronger when macro headlines hit.
entry / exit: Use first 5–15 minute range after cash open; choose continuation only when overnight trend and order-flow agree.
risk: The edge may live in volatility, not returns.
data_needed: Intraday bars, open-range metrics, overnight move, ETF-flow proxy.
no_vendor_testability: Yes.
Kraken_feasibility: Good.
better_venue_if_not_Kraken: Not necessary.
evidence_support / evidence_against: U.S. cash hours still shape crypto activity; many opening-range strategies die once fees and adaptive volatility are included.
null_control: Same rule at random hours with matched volatility.
falsification_test: Reject if the cash-open rule adds no net expectancy over a raw volatility-breakout baseline.
priority: High. 17

ETF-flow surprise into the next U.S. cash open

raw_claim: Big ETF inflow/outflow days matter more once U.S. cash markets reopen than during the overnight crypto session.
source_type: ETF-flow research, public ETF data, trader discussion.
source_context: Academic and desk research finds ETF flows predict Bitcoin price effects over the next several days; public ETF pages expose daily volume/AUM while U.S. equity trading is still clock-bound.
assessment: Plausible market structure.
systematic_translation: Condition NY-cash-open BTC/ETH trades on prior-day or same-morning ETF flow surprises relative to expectations.
mechanism: Authorized participant hedging, institutional attention, and delayed cash-session price discovery.
regime_context: IBIT/spot-ETF heavy periods; weekdays only.
entry / exit: Go with the first clean opening-range break in the direction of positive flow surprise; reverse for outflow shock if overnight crypto has not already fully repriced it.
risk: Flow data can be stale, revised, or already priced overnight.
data_needed: Public ETF flows, ETF volume, NYSE hours, intraday crypto.
no_vendor_testability: Yes, though flow cleanliness matters.
Kraken_feasibility: Good for execution, not for data generation.
better_venue_if_not_Kraken: Any liquid venue.
evidence_support / evidence_against: ETF flows do matter statistically, but same-day timing is messy and the overnight market often front-runs obvious news.
null_control: Same cash-open rule on days with neutral ETF flows.
falsification_test: Reject if flow-conditioned opening trades are not better than unconditioned opening-range trades after fees.
priority: High. 18

Weekend liquidity trend extension

raw_claim: Thin weekend books let the same pressure push price much farther than on weekdays.

source_type: Reddit lore, recent commentary, academic anomaly work.

source_context: Weekend threads repeatedly cite thinner liquidity and sharper moves; formal work revisiting day-of-week and weekend effects also finds weekend behavior differs from weekdays, though persistence varies.

assessment: Plausible market structure.

systematic_translation: If Friday late-session direction persists into Saturday with low depth and elevated spread, trade continuation rather than fade.

mechanism: Thinner books, fewer arbitrageurs, crypto as the “always-on” macro release valve.

regime_context: News shocks and already-moving tapes.

entry / exit: Enter only if weekend spread widens modestly, not catastrophically, and if the Friday move remains unfilled by Saturday open.

risk: Many weekends are just dead chop.

data_needed: Weekend spreads, depth proxy, Friday close state, realized volatility.

no_vendor_testability: Yes, though live spread capture helps.

Kraken_feasibility: Medium.

better_venue_if_not_Kraken: Binance or Coinbase for richer depth capture.

evidence_support / evidence_against: The liquidity story is structurally sound; empirical sign and size of “weekend effect” is unstable across periods.

null_control: Same continuation rule on weekday overnight sessions.

falsification_test: Reject if weekend continuation is no stronger than weekday overnight continuation after cost adjustment.

priority: High. ¹⁹

Weekend overshoot mean reversion into Monday

raw_claim: Weekend dumps and pumps often get corrected when the full arbitrage and institutional stack returns.

source_type: Reddit lore, old CME-gap culture, weekend-effect discussions.

source_context: Traders repeatedly talk about weekend corrections into Monday; even before CME went 24/7, gap-fill lore reflected the same intuition.

assessment: Plausible market structure; regime-sensitive.

systematic_translation: Fade extreme weekend moves into the first part of Monday only when the move happened on low relative volume and without confirming weekday-market news.

mechanism: Weekend overreaction, thinner books, broader participation returning on Monday.

regime_context: Low-news weekends; non-crisis conditions.

entry / exit: Enter during the Sunday/Monday handoff if price stalls near the weekend extreme.

risk: Genuine macro shocks continue through Monday instead of reverting.

data_needed: Weekend return percentile, volume/vol proxy, Monday open state.

no_vendor_testability: Yes.

Kraken_feasibility: Good.

better_venue_if_not_Kraken: Not necessary.

evidence_support / evidence_against: Plausible and widely believed; newer 24/7 institutional participation may weaken the old Monday snapback tendency.

null_control: Same fade logic on weekday overnight extremes.

falsification_test: Reject if Monday-reversion expectancy is not statistically above weekday

overnight reversion after 2024 and after the 2026 CME regime shift.

priority: Medium. 20

CME-gap fill as a post-2026 myth

raw_claim: "Everyone knows" BTC fills CME gaps; trade it.

source_type: Reddit lore, official CME update.

source_context: Traders openly described a "whole subculture" built around filling the CME gap, but CME now trades crypto futures 24/7.

assessment: Mostly myth for current data; pre-2026 backtests are structurally contaminated.

systematic_translation: Do not use classic weekend-gap-fill signals in post-May-2026 live systems; at most, test residual effects tied to clearing conventions, not closures.

mechanism: Regime break killed the old closure-based gap.

regime_context: Post-May 29, 2026.

entry / exit: None unless testing a revised clearing/settlement effect.

risk: Mistaking a dead pattern for persistent alpha.

data_needed: CME timestamps, crypto weekend returns.

no_vendor_testability: Yes.

Kraken_feasibility: Not relevant.

better_venue_if_not_Kraken: Not relevant.

evidence_support / evidence_against: The gap premise changed when CME moved to 24/7; any surviving explanatory power needs a new mechanism.

null_control: Old gap-fill rule before and after May 29, 2026.

falsification_test: Reject if post-change live results are not materially different from zero.

priority: Low, but important as a false lead to kill early. 21

Incomplete liquidation purge leads to a second leg

raw_claim: If the first cascade hits but OI stays elevated, the move often comes back for more.

source_type: FalconX market note, Reddit dashboards, liquidation mechanics.

source_context: FalconX described weekend BTC moves driven by perp liquidations; practitioner dashboards interpret elevated post-move OI as unresolved positioning.

assessment: Plausible market structure.

systematic_translation: After a sharp cascade, re-enter with-trend only if price fails to reclaim the breakdown zone and OI remains materially above pre-breakdown baseline.

mechanism: First forced unwind does not clear the book.

regime_context: High leverage, thin liquidity, majors and liquid alts.

entry / exit: Trade the first failed rebound after the initial liquidation move; cover on the next OI compression or capitulation print.

risk: Double-counting noisy OI updates; fake second leg.

data_needed: OI, liquidation proxy, price structure.

no_vendor_testability: Yes, but cleaner with OI history.

Kraken_feasibility: Forward-capture only.

better_venue_if_not_Kraken: Binance/OKX/Hyperliquid.

evidence_support / evidence_against: Liquidation cascades are real; inferring "unfinished business" from noisy public OI can still be wrong.

null_control: Same failed-rebound trend rule without the post-cascade OI filter.

falsification_test: Reject if OI-retention does not improve post-cascade continuation versus plain

momentum continuation.

priority: High. 22

Full purge plus fast reclaim as mean reversion

raw_claim: A violent flush that gets bought back quickly is often the local end of the liquidation event.

source_type: Reddit event discussion, liquidation mechanics.

source_context: Traders described 20–30 minute crash-and-bounce events that felt abnormal even by crypto standards; liquidation mechanics explain why forced selling can overshoot.

assessment: Plausible market structure.

systematic_translation: Go contra-trend after a liquidation burst only if price fully reclaims a large fraction of the impulse within a fixed short horizon and OI materially drops.

mechanism: Forced flow exhausts itself, then natural liquidity refills.

regime_context: Panic flushes, not slow grinds.

entry / exit: Enter on reclaim of the cascade midpoint or VWAP; exit at pre-cascade support/resistance or if reclaim fails.

risk: Catching the middle of a bigger macro break.

data_needed: Price impulse, OI, liquidation proxy, volume.

no_vendor_testability: Partial.

Kraken_feasibility: Medium with self-archive.

better_venue_if_not_Kraken: Binance/OKX/Hyperliquid.

evidence_support / evidence_against: Forced selling often overshoots; many “V” recoveries in Reddit memory are selected because they were memorable.

null_control: Same reclaim trade on non-cascade high-volatility moves.

falsification_test: Reject if cascade-reclaim trades do not beat generic oversold-reclaim rules after fees.

priority: High. 23

Heatmap plus OI plus trade-flow combo

raw_claim: Liquidation heatmaps work only when confirmed by other derivatives signals.

source_type: Reddit practitioner commentary.

source_context: One trader said heatmaps can work but get crowded and need confirmation; another noted public heatmaps are estimation layers, not the exchange’s true liquidation book.

assessment: Plausible market structure; anti-myth framing is the key part.

systematic_translation: Use heatmap levels only as areas of interest, then require confirming OI change, aggressive trade imbalance, or failed continuation on touch.

mechanism: Publicly visible “liquidity” attracts crowd attention, but only actual forced flow matters.

regime_context: Higher-volatility conditions.

entry / exit: Trigger only on the combination, never on heatmap touch alone.

risk: Public heatmaps can be structurally wrong.

data_needed: Heatmap proxy, OI, trades, price reaction.

no_vendor_testability: Partial.

Kraken_feasibility: Low unless you build your own proxy.

better_venue_if_not_Kraken: Hyperliquid or Binance/OKX with richer forward capture.

evidence_support / evidence_against: Practitioners themselves warn against standalone heatmap use; academic work now tries to infer cascades from public order-book data rather than trusting reported heatmaps.

null_control: Same entry logic on heatmap touch alone.
falsification_test: Reject if adding OI/trade-flow confirmation does not materially outperform bare heatmap-touch rules.
priority: High. ²⁴

Mark-price protection blunts stop and liquidation signals

raw_claim: Not every wick to a visible level should trigger because exchanges use mark-price protections and fair-value bands.
source_type: Official exchange rules, user complaints.
source_context: Coinbase IntX defines mark and fair-value ranges; Kraken EEA mark uses impact-mid plus capped basis logic; Binance explicitly distinguishes mark from last price to avoid unnecessary liquidations.
assessment: Plausible market structure; basic but often missed.
systematic_translation: Build signals on mark/index-aware thresholds, not charted last price alone.
mechanism: Liquidations, stops, and fair-value filters are governed by mark, not always by the visible last trade.
regime_context: Illiquid moments, spikes, venue-specific dislocations.
entry / exit: Not a standalone signal; use as a correction to every stop-hunt and liquidation idea.
risk: Mislabeling last-price wicks as tradable liquidation sweeps.
data_needed: Mark, index, last trade, venue rule set.
no_vendor_testability: Yes.
Kraken_feasibility: High.
better_venue_if_not_Kraken: Not applicable.
evidence_support / evidence_against: The exchanges explicitly document mark-price logic; many user complaints stem from not understanding it.
null_control: Compare last-price-only signal performance with mark-aware signal performance.
falsification_test: Reject any stop/liquidation strategy that does not survive when rebuilt on venue-specific mark-price logic.
priority: High. ²⁵

Small-alt wick hunts need depth or tick data

raw_claim: In small alts, the “hunt” is real, but candles alone do not tell you whether it was size exhaustion, spoof-pull, or fair-value distortion.
source_type: Research and practitioner complaints.
source_context: New research detects liquidation cascades from public order-book data; Kraken and Binance both document the depth needed to maintain useful books; trader claims about hunts are common but usually observational.
assessment: Depth/tick required.
systematic_translation: Treat small-alt wick-hunt ideas as forward-capture projects only; do not backtest them on OHLCV.
mechanism: Book depletion and forced market orders happen too fast for candle data.
regime_context: Thin names, weekend, listing days.
entry / exit: None until you have live book/trade capture.
risk: Complete illusion from candle compression.
data_needed: L2/L3 where available, trade prints, mark/index, local timestamps.
no_vendor_testability: Forward-capture only.

Kraken_feasibility: Low for long-tail names.
better_venue_if_not_Kraken: Binance or OKX; Hyperliquid if you want public on-chain detail.
evidence_support / evidence_against: Public research and exchange docs both point to order-book detail as the minimum input for this class of signal.
null_control: Candle-only proxy strategy.
falsification_test: Reject if the live-book signal does not beat the candle-only proxy in forward tests.
priority: Medium. 26

Spoof-pull fakeouts require L2

raw_claim: Apparent support or resistance vanishes right before the break because much of it was spoofed or fleeting.
source_type: Reddit discussion, long-form market-manipulation writeup, exchange book docs.
source_context: Practitioners explicitly point to spoofing and momentum ignition; exchange docs explain how to maintain full books because ticker data is not enough.
assessment: Plausible market structure; depth/tick required.
systematic_translation: Build a signal around short-lived displayed depth near a level and its cancellation pattern right before a breakout or breakdown.
mechanism: Fake book pressure changes crowd behavior, then disappears.
regime_context: Obvious levels, low/newsless liquidity, smaller venues.
entry / exit: Trade only the post-cancel move when cancellation intensity exceeds a threshold and aggressive flow flips.
risk: Exchange-specific message noise; false positives from legitimate quote refresh.
data_needed: L2 updates with sequence integrity, trades, quote lifetime statistics.
no_vendor_testability: Forward-capture only.
Kraken_feasibility: Medium for majors with local book maintenance.
better_venue_if_not_Kraken: Binance or Coinbase Exchange-style feeds with richer sequence logic.
evidence_support / evidence_against: The mechanism is real in markets broadly; converting it into repeatable alpha is hard and fragile.
null_control: Simple breakout without quote-lifetime features.
falsification_test: Reject if spoof-lifetime features add no edge over plain breakout rules in forward live capture.
priority: Medium. 27

Order-book imbalance at obvious levels

raw_claim: At major levels, real imbalance, not chart shape, predicts whether the level breaks or bounces.
source_type: Exchange API guidance, L2 builder posts.
source_context: Kraken and Coinbase both stress that L2 book depth is needed for execution and order-book maintenance; practitioner L2 reconstruction posts argue indicator-only systems react too late.
assessment: Plausible market structure; depth data needed for full value.
systematic_translation: Use short-lived top-of-book and near-book imbalance, cancellation rate, and refill rate at obvious intraday levels to classify break versus reject.
mechanism: Real liquidity absorption or absence of it decides outcome.
regime_context: BTC/ETH/SOL on liquid venues.
entry / exit: Enter on first successful hold or break after imbalance confirmation; exit quickly if refill appears against the trade.

risk: Queue position and latency dominate for very short horizons.
data_needed: Level 2, trades, quote lifetimes.
no_vendor_testability: Forward-capture only for best results.
Kraken_feasibility: Medium.
better_venue_if_not_Kraken: Coinbase IntX or Binance.
evidence_support / evidence_against: The execution logic is sound, but many firms already mine this space and fee/slippage costs are unforgiving.
null_control: Same level-based trade without book features.
falsification_test: Reject if book features do not improve precision or reduce false breaks enough to offset extra complexity.
priority: Medium. 28

Negative funding alone is not a long signal

raw_claim: “Negative funding means squeeze higher” is repeated constantly, but often wrong.
source_type: Reddit rebuttal, public research.
source_context: A Bitcoin thread said exactly that: negative funding shows short leaning, not guaranteed upside, and what matters is whether liquidity gets absorbed.
assessment: Anti-myth filter.
systematic_translation: Never trade negative funding alone; require price stability or reclaim, basis improvement, or OI behavior consistent with trapped shorts.
mechanism: Positioning is not demand.
regime_context: Especially important in downtrends.
entry / exit: Only use as secondary confirmation.
risk: The myth is seductive because it sometimes works spectacularly.
data_needed: Funding, basis, price structure, OI if available.
no_vendor_testability: Yes.
Kraken_feasibility: Good.
better_venue_if_not_Kraken: Not necessary.
evidence_support / evidence_against: Practitioners explicitly warn against the shortcut; some research shows predictive content, but not enough to justify the naked rule.
null_control: Naked negative-funding long entries.
falsification_test: Reject any negative-funding rule that is not improved by adding price/basis confirmation.
priority: High, mostly as a filter against bad backtests. 29

Cross-venue open-interest composites can be wrong

raw_claim: Traders mash together OI from multiple venues as if it were clean and comparable.
source_type: Research paper.
source_context: Tick-level research found some major exchanges misquote open interest or delay forced-trade reporting, making cross-exchange OI composites unreliable.
assessment: Plausible market-structure problem; anti-myth filter.
systematic_translation: Use venue-local OI for venue-local trades, and be skeptical of aggregated OI unless you independently reconcile definitions and reporting lags.
mechanism: Data-generation and reporting differ across exchanges.
regime_context: Any OI-based multi-venue signal.
entry / exit: Not a signal; a data-hygiene rule.

risk: Entire research stack built on incompatible OI series.
data_needed: OI definitions, venue-specific feeds, reconciliation logic.
no_vendor_testability: Yes, but hard.
Kraken_feasibility: Good as a local venue, weak as a composite anchor alone.
better_venue_if_not_Kraken: Not applicable.
evidence_support / evidence_against: This is a documented issue, not just a forum complaint.
null_control: Aggregated composite strategy versus venue-local strategy.
falsification_test: Reject any OI-based strategy whose edge depends on unreconciled multi-venue composite OI.
priority: High. 30

New perp launches pump first, then bleed

raw_claim: Fresh perp markets often squeeze or gap on day one, then bleed over the next few days.
source_type: Reddit listing-effect discussion, trader anecdotes, listing notices.
source_context: Coinbase listing analysis found many listed names pumped only briefly and often bled; practitioners also claim simultaneous spot-plus-perp launches tend to hurt price.
assessment: Plausible market structure; strong sample-selection risk.
systematic_translation: Short newly listed perps only after the first failed extension, not at launch, and test holding periods from several hours to several days.
mechanism: Initial hype and liquidity discovery, followed by short access and distribution.
regime_context: Small and narrative-heavy names.
entry / exit: Wait for day-one or first-session failure near the high; exit on first large OI drop or time stop.
risk: Some launches trend for days before fading.
data_needed: Listing calendar, launch timestamps, intraday prices, OI/funding if available.
no_vendor_testability: Yes.
Kraken_feasibility: Medium on names Kraken lists.
better_venue_if_not_Kraken: Binance or OKX for broader sample sizes.
evidence_support / evidence_against: Listing pumps are usually short-lived, but broad averages hide strong winners; the real edge may be in the failure pattern, not the listing event.
null_control: Short random high-beta alts matched on volatility and market cap.
falsification_test: Reject if post-failure short on new perps does not beat matched non-new alt shorts.
priority: High. 31

Later perp launch is the real fade event

raw_claim: Spot listing without a perp can support price; the perp listing later is when the real fade arrives.
source_type: Reddit anecdote, listing discussions.
source_context: A trader claimed that when perps launch later than spot, price is better protected initially; the same post said simultaneous perp launch often tanks price.
assessment: Plausible market structure; anecdotal until tested.
systematic_translation: Build an event study around delayed perp-launch dates for tokens that already had spot discovery elsewhere.
mechanism: Perp launch broadens short access and leverage.
regime_context: New tokens with retail hype.

entry / exit: Short first failed rally after perp launch, not on the headline.

risk: Some perp launches simply deepen liquidity and improve price discovery without a directional effect.

data_needed: Spot listing date, perp listing date, event windows, relative-volume data.

no_vendor_testability: Yes.

Kraken_feasibility: Medium.

better_venue_if_not_Kraken: Binance/OKX.

evidence_support / evidence_against: Mechanism makes sense because shorting becomes easier; supporting evidence is still mostly anecdotal.

null_control: Same tokens around arbitrary matched non-event dates.

falsification_test: Reject if delayed-perp-launch fades are not stronger than generic post-hype fades.

priority: High. 32

Kraken new-listing passive execution edge

raw_claim: On certain new listings, passive quoting may be the edge, not directional forecasting.

source_type: Kraken fee schedule, maker/taker docs, algotrading fee discussions.

source_context: Kraken applies a special new-listing rebate schedule for many new perps; algotrading threads complain that fees kill short-horizon edges; Kraken's post-only option guarantees maker-or-cancel behavior.

assessment: Execution artifact; very plausible for small accounts.

systematic_translation: On eligible Kraken new listings, test passive entry/exit around small predictive edges and compare to taker execution.

mechanism: Lower or negative maker fees can flip marginal gross alpha into net alpha.

regime_context: Narrow-size accounts, liquid enough new listings.

entry / exit: Use post-only joins near micro-support/resistance; do not cross unless the move escapes.

risk: Queue non-fill and adverse selection.

data_needed: Fee schedule, fills, queue/fill-rate estimates, spread.

no_vendor_testability: Yes, with live paper trading.

Kraken_feasibility: High.

better_venue_if_not_Kraken: Coinbase IntX or Binance only if fee/rebate profile improves.

evidence_support / evidence_against: Fees clearly matter and Kraken explicitly subsidizes some new-listing maker flow; fill risk can erase the rebate advantage.

null_control: Same signals executed as taker orders.

falsification_test: Reject if maker execution does not outperform taker execution after missed-fill opportunity cost.

priority: High. 33

Leverage and funding caps distort first-day listing signals

raw_claim: Day-one behavior on newly listed perps is often driven by temporary exchange parameters, not "true" price discovery.

source_type: Official listing notices.

source_context: Binance's CAP launch notice specified 10x max leverage, $\pm 2\%$ funding caps, and 4-hour funding for the new contract; exchanges also alter funding intervals and formulas under stress.

assessment: Plausible market structure; anti-myth filter.

systematic_translation: Exclude or separately model the first day or first week of new-perp trading when special caps and leverage limits apply.

mechanism: Temporary microstructure constraints change crowding behavior.

regime_context: New listings and stressed markets.

entry / exit: Treat the parameter regime as a feature: delay directional backtests until normal settings resume.

risk: Thinking you found a persistent listing alpha when you only found a launch-parameter artifact.

data_needed: Contract notices, leverage caps, funding caps, settlement frequency.

no_vendor_testability: Yes.

Kraken_feasibility: Medium.

better_venue_if_not_Kraken: Binance/OKX for richer listing samples.

evidence_support / evidence_against: Exchange notices directly document these special terms.

null_control: Compare listing-event returns before and after parameter normalization.

falsification_test: Reject if the apparent edge lives only during temporary capped regimes.

priority: High. ³⁴

Pre-launch and pre-IPO perps are noisy by design

raw_claim: Pre-launch and pre-IPO perps can move violently because the underlying reference is weak or partly internal.

source_type: Reddit cautionary post, official Coinbase rules.

source_context: A Reddit post called pre-IPO perps a trap after a fast collapse; Coinbase rules state that pre-IPO perps may rely heavily on internal reference prices and are more sensitive to limited inputs.

assessment: Plausible market structure; do not treat like normal crypto perps.

systematic_translation: If you trade them at all, trade only rebase/settlement mechanics and relative-value quirks, not ordinary momentum assumptions.

mechanism: Poor external reference quality plus conversion/rebase risk.

regime_context: Pre-launch, pre-IPO, RWA-style underlyings.

entry / exit: Small size, event-driven only, no overnight carry through unclear conversion windows.

risk: Structural pricing noise, not just volatility.

data_needed: Contract rules, conversion notices, mark/index methodology, event calendar.

no_vendor_testability: Yes, but very different from standard crypto-perp testing.

Kraken_feasibility: Low unless Kraken lists a similar product.

better_venue_if_not_Kraken: Coinbase IntX only if you deliberately want this niche.

evidence_support / evidence_against: Coinbase explicitly warns these prices may not reflect contemporaneous tradeable prices; practitioner blow-up stories match that risk.

null_control: Same momentum setup on standard crypto perps.

falsification_test: Reject if pre-launch/per-IPO signals do not survive rule-based event exclusions and rebase windows.

priority: Low for most firms, but useful to avoid bad research paths. ³⁵

Weak-coin spike fade in risk-off regimes

raw_claim: Older or weak alts without fresh narrative are used as exit liquidity; their sharp upside spikes are better fades than buys.

source_type: Social trading posts and forum commentary.

source_context: Several market-summary style posts frame older or weaker alts as “bleeding out” while capital concentrates in a few leaders.

assessment: Plausible market structure; narrative classification risk.
systematic_translation: In risk-off or narrow-leadership tapes, short liquid weak names when they make isolated upside spikes without matching sector confirmation.
mechanism: Relief bounces in structurally weak names fail faster than leader breakouts.
regime_context: Narrow-leadership markets, broad alt weakness, high BTC dominance.
entry / exit: Short first failed spike or failed reclaim of session high/VWAP.
risk: Sector-wide squeeze lifts all boats for a while.
data_needed: Relative-strength ranking, sector confirmation, spike metrics, funding/OI optional.
no_vendor_testability: Yes.
Kraken_feasibility: Medium where symbol coverage exists.
better_venue_if_not_Kraken: Binance/OKX.
evidence_support / evidence_against: Leadership concentration is real, but “weak coin” labels are easy to define after the fact.
null_control: Buy leaders on similar spikes, or fade random alts without a weakness filter.
falsification_test: Reject if weak-coin fade does not beat unconditional spike-fade rules.
priority: High. ³⁶

First failed breakout after an OI surge

raw_claim: The short is not the first spike; it is the first breakout failure after OI explodes.
source_type: Trader dashboard posts.
source_context: Practitioner dashboards repeatedly read elevated OI held after a move as fragile structure.
assessment: Plausible market structure.
systematic_translation: After an impulsive move with OI expansion, wait for the first breakout attempt that cannot extend and then short the failure toward the event origin.
mechanism: Late chasers provide the trapped inventory.
regime_context: Pump-then-bleed names and overheated leaders.
entry / exit: Enter on failed retest of the spike high; cover on OI drop, VWAP tag, or prior base.
risk: True trend days convert the “failure” into consolidation before another leg up.
data_needed: OI, intraday structure, optional funding.
no_vendor_testability: Yes.
Kraken_feasibility: Forward-capture only for OI.
better_venue_if_not_Kraken: Binance/OKX.
evidence_support / evidence_against: OI retained after a move is a sensible fragility marker; reading all OI as “late chasers” is too crude.
null_control: First failed breakout without prior OI surge.
falsification_test: Reject if OI-surge context does not improve the failure-short setup over plain failed breakouts.
priority: High. ³⁷

BTC leads ETH and SOL intraday

raw_claim: BTC impulse often shows up first; ETH and then SOL react after short lags.
source_type: Academic lead-lag work, trader discussion.
source_context: Academic work documents lead-lag relationships between BTC and ETH; practitioner altseason talk repeatedly frames ETH and SOL as downstream beta.
assessment: Plausible market structure.

systematic_translation: Trade ETH and SOL when BTC makes a statistically unusual move and the lagger has not yet repriced, but only on liquid intraday horizons.

mechanism: BTC remains the main information hub for crypto risk.

regime_context: Broad market moves, not idiosyncratic coin news.

entry / exit: Enter lagger within seconds to minutes after a BTC impulse if local book conditions allow; exit quickly or on convergence.

risk: The lag may be too small after fees and latency.

data_needed: Synchronized intraday prices, lead-lag model, spread/slippage.

no_vendor_testability: Yes, but better with trades.

Kraken_feasibility: Medium.

better_venue_if_not_Kraken: Binance or Coinbase IntX for richer synchronized feeds.

evidence_support / evidence_against: BTC leadership is well established at broad horizons; turning it into net alpha at intraday speed is much harder.

null_control: Trade the lagger on its own impulse only, without BTC lead filter.

falsification_test: Reject if lead-lag alpha disappears after realistic slippage or under 1–5 minute aggregation.

priority: High. 38

ETH/BTC breakout as staged alt-rotation trigger

raw_claim: Altseason usually starts with ETH/BTC strength, not with broad alt memes.

source_type: Trader blog and Reddit discussion.

source_context: Rotation commentary repeatedly says to watch ETH/BTC before “altseason posts,” and blog-style altseason notes make the same case.

assessment: Plausible market structure.

systematic_translation: Use ETH/BTC breakout and persistence as the gate that allows broader long-alt rules to switch on.

mechanism: Capital rotates from BTC into ETH before diffusing further down the risk curve.

regime_context: Post-BTC impulse periods with improving market breadth.

entry / exit: Turn on alt-beta or sector-rotation systems only after ETH/BTC holds above breakout for several sessions.

risk: False ETH/BTC breakouts are common.

data_needed: ETH/BTC ratio, breadth metrics, alt relative returns.

no_vendor_testability: Yes.

Kraken_feasibility: Good.

better_venue_if_not_Kraken: Not necessary.

evidence_support / evidence_against: The staged-rotation story is common and mechanically sensible; “altseason” itself is an imprecise concept and can stay narrow.

null_control: Alt-beta signals run continuously without ETH/BTC gating.

falsification_test: Reject if ETH/BTC gating does not improve alt-basket timing versus always-on exposure.

priority: High. 39

SOL/ETH breakout with tame funding as real rotation

raw_claim: When SOL outperforms ETH and funding stays tame, the move is more genuine than a pure squeeze.

source_type: BitMEX public strategy note, trader commentary.

source_context: BitMEX argued that a rising SOL/ETH ratio with tame funding suggests a genuine bid rather than an aggressive mechanical squeeze.

assessment: Plausible market structure.

systematic_translation: Long SOL versus short ETH when the ratio breaks out and both legs' funding stays below a mania threshold.

mechanism: Leadership rotation with limited leverage overheating.

regime_context: Alt-L1 leadership phases.

entry / exit: Buy ratio breakout after pullback hold; cut on relative-breakout failure or funding surge.

risk: Pair can reverse hard when ETH catches up on macro days.

data_needed: SOL/ETH ratio, both funding series, relative volatility.

no_vendor_testability: Yes.

Kraken_feasibility: Good on majors.

better_venue_if_not_Kraken: Not necessary.

evidence_support / evidence_against: The pair logic is cleaner than naked alt longs, but one public note is still not proof.

null_control: SOL/ETH ratio breakout without a funding filter.

falsification_test: Reject if tame-funding filtering does not improve the ratio strategy versus raw breakout rules.

priority: High. 40

Leader breakout continuation long strong versus short weak

raw_claim: In crypto, the liquid sector leader often keeps going while weak peers lag or bleed.

source_type: Trader breakout guidance plus crypto rotation commentary.

source_context: General breakout practitioners stress that the trade is the clean break that holds; crypto commentary says leadership starts in a few strong names before broadening.

assessment: Plausible market structure.

systematic_translation: On sector-on days, long the strongest liquid major or sector leader and finance it with a short in the weakest liquid peer.

mechanism: Relative-strength persistence and capacity concentration.

regime_context: Narrow-leadership markets, sector rotations.

entry / exit: Enter after breakout hold on the leader and confirmed relative underperformance on the hedge leg.

risk: Broad beta shock overwhelms pair logic.

data_needed: Relative strength, breakout state, liquidity screen.

no_vendor_testability: Yes.

Kraken_feasibility: Medium to good on majors.

better_venue_if_not_Kraken: Binance/OKX for deeper sector baskets.

evidence_support / evidence_against: Leadership concentration is common; classic breakout lore is also one of the most crowded ideas in trading.

null_control: Long leader unhedged, or random hedge leg.

falsification_test: Reject if the hedged leader-continuation trade does not improve risk-adjusted performance over simple leader momentum.

priority: High. 41

Relative-weakness fade against the leader

raw_claim: If BTC or the sector leader bounces and a weaker coin cannot follow, that weak coin is a

better short than the leader.

source_type: Social trading commentary.

source_context: Multiple market-summary posts describe specific weak names or older alt groups as “exit liquidity” while leaders absorb the limited risk appetite.

assessment: Plausible market structure.

systematic_translation: Short names that underperform the leader on the bounce and fail to reclaim VWAP/session highs.

mechanism: Capital concentration and selective sponsorship.

regime_context: Risk-off or narrow-risk tapes.

entry / exit: Short the weak coin on failed reclaim while BTC/leader holds green.

risk: Laggards can suddenly mean-revert violently during sector squeezes.

data_needed: Relative return to leader, VWAP, intraday highs, sector state.

no_vendor_testability: Yes.

Kraken_feasibility: Medium.

better_venue_if_not_Kraken: Binance/OKX.

evidence_support / evidence_against: The logic is simple and often cleaner than forecasting absolute direction; relative weakness also attracts crowding once obvious.

null_control: Short random non-leaders after a leader bounce.

falsification_test: Reject if leader-relative weakness does not improve short selection versus simple laggard baskets.

priority: High. 36

Altseason breadth should be staged, not broad-beta from day one

raw_claim: Stronger rotations start with a smaller group of leaders before expanding to the wider market.

source_type: Reddit discussion, trader blog.

source_context: Breadth commentary and altseason debates repeatedly argue that the market rotates in stages rather than flipping one switch.

assessment: Plausible market structure.

systematic_translation: Build a staged rotation model: BTC leadership, then ETH/BTC, then SOL or sector leaders, then breadth expansion into mid-caps.

mechanism: Risk appetite diffuses gradually through the market-cap stack.

regime_context: Bullish or reflationary crypto regimes.

entry / exit: Scale exposure by stage rather than going all-in on broad alt beta after the first signal.

risk: Stages can compress into a few days or fail entirely.

data_needed: BTC dominance, ETH/BTC, SOL/ETH, breadth stats.

no_vendor_testability: Yes.

Kraken_feasibility: Good for the first stages; weaker for broad breadth.

better_venue_if_not_Kraken: Binance/OKX.

evidence_support / evidence_against: Many practitioners think this way; altseason narratives can linger long after the breadth signal has died.

null_control: Always-on equal-weight alt basket.

falsification_test: Reject if staged gating does not beat simple broad-alt exposure with lower drawdown.

priority: Medium. 42

CEX price discovery and funding lead DEX

raw_claim: Centralized venues still lead decentralized perps in price discovery and funding information.

source_type: Academic research, builder discussion.

source_context: Recent research finds a two-tier structure with significant information flow from CEX to DEX and no reverse causality; builders explicitly want combined CEX/DEX funding and heatmap views.

assessment: Plausible market structure.

systematic_translation: Use CEX funding and price breaks as the signal source, and only use DEX venues as an execution venue if they lag and liquidity is acceptable.

mechanism: Larger centralized integration and faster information incorporation.

regime_context: Cross-venue arb or signal transport.

entry / exit: Enter on the lagging venue after a CEX signal only if the lag survives fees and bridge friction.

risk: DEX execution and liquidation quirks can overwhelm the signal edge.

data_needed: Cross-venue synchronized prices, funding, slippage estimates.

no_vendor_testability: Yes.

Kraken_feasibility: Kraken can be the signal leg or execution leg.

better_venue_if_not_Kraken: Hyperliquid or other DEXs as execution only if lag exists.

evidence_support / evidence_against: There is direct research support for CEX-to-DEX information flow; carrying a signal across venues adds a lot of operational risk.

null_control: Same signal generated on the DEX itself.

falsification_test: Reject if the CEX-led version does not outperform same-venue DEX signals net of slippage and latency.

priority: Medium. 43

Volume incentive and wash-trade contamination on perp DEXs

raw_claim: Perp DEX volume can be farmed; raw volume is a dirty signal.

source_type: Arthur Hayes strategy note, Reddit incentive-farming post.

source_context: Arthur Hayes notes that points or token incentives drive wash trading, and a Reddit post described farming volume and OI while staying roughly delta-neutral.

assessment: Plausible market structure; anti-myth filter.

systematic_translation: Do not use raw volume spikes on incentive-heavy venues as a momentum or attention signal without checking OI, funding, and slippage-adjusted depth.

mechanism: Incentive farming manufactures volume without real information.

regime_context: Points seasons, token launches, DEX rebate campaigns.

entry / exit: Not a signal; a veto on naïve volume-based systems.

risk: False confidence in “high-activity” names that are mostly self-traded.

data_needed: Volume, OI, funding, slippage, incentive calendar.

no_vendor_testability: Yes.

Kraken_feasibility: More relevant as a cross-venue filter than on Kraken itself.

better_venue_if_not_Kraken: DEX-heavy research stacks.

evidence_support / evidence_against: Public strategy notes explicitly describe the incentive mechanism; not all high volume is fake, so the filter must be selective.

null_control: Volume signal with and without OI/funding/slippage filters.

falsification_test: Reject any volume-only signal that weakens once incentive windows are excluded.

priority: High. 44

Maker and post-only queue alpha can beat weak directional alpha

raw_claim: For small accounts, queueing at good levels with post-only orders can matter more than a fragile directional signal.

source_type: Exchange docs, algo trading practitioner complaints.

source_context: Kraken's post-only option ensures maker-or-cancel; algo traders complain that fees flip many profitable-looking low-timeframe strategies negative.

assessment: Execution artifact; very relevant to small aggressive accounts.

systematic_translation: When directional expectancy is small but persistent, compare three implementations: taker, naive maker, and post-only maker with queue logic.

mechanism: Micro alpha is often captured or destroyed by fees and queue position.

regime_context: Liquidity-rich majors, repetitive intraday patterns.

entry / exit: Same signal, different execution wrappers.

risk: Non-fill and adverse selection are the bill for crossing less often.

data_needed: Fill simulations, maker/taker fees, queue statistics, spread.

no_vendor_testability: Yes, with forward paper trading.

Kraken_feasibility: High.

better_venue_if_not_Kraken: Coinbase IntX if your effective fees are lower there.

evidence_support / evidence_against: The fee mechanics are explicit and practitioners repeatedly hit this wall; queue alpha itself is hard to estimate from public data.

null_control: Taker implementation of the same signal.

falsification_test: Reject if execution improvements do not convert gross edge into stable net edge in live paper trading.

priority: High. ⁴⁵

Fee drag kills many low-timeframe edges

raw_claim: A strategy that looks great before fees often dies after fees.

source_type: Algo trading discussion, fee schedules.

source_context: Traders explicitly complain that BitMEX/Bybit-style fee structures can eat the whole edge; Coinbase International and OKX publish maker/taker schedules that make the arithmetic obvious.

assessment: Execution artifact; anti-myth filter.

systematic_translation: Before any low-timeframe alpha work, compute a break-even threshold equal to round-trip fees plus realistic spread and adverse-selection cost.

mechanism: Small gross expectancy cannot survive repeated crossing and slippage.

regime_context: Sub-hour systems, especially 1–5 minute strategies.

entry / exit: Not a signal; a mandatory go/no-go test.

risk: Researching fake alpha for weeks because costs were ignored.

data_needed: Fee tiers, spread, slippage, fill quality.

no_vendor_testability: Yes.

Kraken_feasibility: High.

better_venue_if_not_Kraken: Venue-dependent; switch only if net routing economics improve.

evidence_support / evidence_against: Practitioners face this repeatedly, and official fees are public; some people then over-correct and ignore implementation paths that could still work with maker logic.

null_control: Gross-PnL backtest versus fully costed backtest.

falsification_test: Reject any idea whose gross expectancy is less than roughly twice estimated all-

in round-trip cost before live-paper validation.

priority: High. 46

Practitioner ideas worth formal backtesting

The best ideas here are not the loudest ones. They are the ones with a real mechanism, a clean public-data path, and a clear way to fail.

Funding-window premium compression on hourly venues. This is one of the few places where exchange rules create a real clock incentive. Kraken EEA and Coinbase IntX both make the timing observable enough for a small firm to collect and test quickly. The danger is that it may be an execution edge more than a forecasting edge, which is still useful if the firm is realistic about it. 47

Post-funding snapback after extreme predicted funding. This is the other side of the same microstructure. It is fresh enough to be under-owned, especially if tested as a conditional mean-reversion rule rather than a naked fade around every funding cut. 48

Persistent negative funding plus price stability as a squeeze filter. The important part is the filter. Naked “negative funding means long” is a myth; negative funding plus stable price, improving basis, or trapped-shorts structure is much more defensible. 49

Positive funding, rising OI, flat price as a flush setup. This is one of the cleaner crowding states in perps because it ties a public incentive variable to a public positioning variable. It is also easy to falsify. 8

Kraken predicted-funding-change signal. Kraken’s public ticker includes `fundingRatePrediction`, which makes this unusually testable without vendor data. It is narrow, venue-specific, and exactly the kind of small-capacity niche a small firm can own if it archives it well. 11

NYSE cash-open impulse conditioned on ETF-flow surprise. This is one of the strongest “crypto meets TradFi” ideas in the set. U.S. cash hours still matter, ETF flows are public enough to use, and the signal can be tested cleanly on BTC and ETH with strict controls. 50

Weekend trend extension versus weekend overshoot reversion as a regime switch. Most weekend commentary is vague. The better path is to split weekends into two families: shock weekends that extend, and thin/no-news weekends that mean-revert into Monday. That turns folklore into a testable classifier. 51

Incomplete liquidation purge versus full purge-plus-reclaim. This is two ideas, not one: second-leg continuation if OI stays sticky, and contrarian rebound if the purge is fully absorbed and quickly reclaimed. Both are directly tied to how perps fail in real time. 52

New perp pump-then-bleed after the first failed extension. The common mistake is shorting the headline. The more testable version waits for the first failed breakout after launch and asks whether that failure is stronger on tokens where perps broaden short access. 31

Delayed perp launch as the true fade event. This is under-tested and fits the user’s niche well. Many firms test “listing effects.” Fewer isolate the later date when shorting and leverage become widely available. 32

Weak-coin spike fade with leader confirmation. This is more robust than generic altcoin momentum because it uses relative weakness, not a vague “bad chart.” It also suits small accounts because the capacity is limited and the signal is cross-sectional. ³⁶

BTC lead into ETH and SOL lag. This is crowded at high frequency, but it may still have life on slightly slower horizons or on weaker venues where the lag is wider. It is worth formal testing because it is simple and easy to kill if fake. ⁵³

ETH/BTC gating for staged alt rotation. This is less flashy than “altseason,” which is also why it is more usable. It can serve as a regime switch for several other cross-sectional strategies in the stack. ⁵⁴

Kraken new-listing passive execution edge. This is not a chart pattern. It is a venue-specific micro edge created by maker rebates and reduced need to cross. For a small firm, that may be more durable than another crowding signal. ⁵⁵

Venue-local execution audit before idea scaling. The most practical “strategy” in this entire report is brutal cost discipline. A stack of fragile low-timeframe ideas can look impressive on paper and still be dead on arrival once fees, missed fills, and spread drift are included. The fastest-growing small accounts often mix one or two genuine timing rules with very strict execution constraints, not the other way around. ⁴⁶

Limits, myths, and where this can still go wrong

The fastest way to poison this research is to conflate public positioning indicators with causal truth. Funding is not demand. Open interest is not always comparable across venues. Public liquidation heatmaps are not the exchange’s real liquidation book. Perp volume on incentive-heavy venues can be manufactured. Small-alt wick stories told after the fact are often impossible to verify from candles alone. Those are not minor caveats; they separate genuine microstructure from storytelling. ⁵⁶

A second failure mode is regime drift. The CME weekend-gap story is already partly obsolete after the May 2026 move to 24/7 crypto trading. ETF-related effects depend on the current importance of U.S. spot ETFs in price formation. Session effects can decay when participation shifts. Venue rule changes, such as OKX’s funding-formula revision and symbol-specific funding-interval adjustments on Binance, can silently break a once-good signal. Any backtest that spans those changes without regime flags is too neat to trust. ⁵⁷

The practical implication is simple. Start with ideas that can be killed quickly using public data and forward capture. Prefer rule-based hypotheses with obvious nulls. Drop myths early. Pay special attention to a narrow band where small size is an advantage: hourly funding windows, venue-specific execution quirks, delayed-perp listing effects, simple leader-laggard pairs, and weekend or U.S. cash-open conditional rules. The rest belongs in the archive of seductive stories about a market that always looks clearer after the wick is already on the chart.

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